give speeches. Their goal is to goose up quarterly results, get a big bonus, write a book, and move on. They know that what counts are the short-term, quarterly reports.

A private, family investor may be able to follow the long-term progress of his business and appreciate what is really going on. Public investors seem to care about only the last quarterly profit report. So the public CEO pursues good quarterly results, often to the detriment of all else.

Probably the most famous example of the successful celebrity CEO is Jack Welch, who ran GE for the decades of the 1980s and 1990s. The company seemed to prosper fabulously. Earnings rose. Sales rose. Profits rose. And the stock price rose from $7 to $40.

But nothing rose as much as Jack Welch's own fortune. He was getting $4 million per year when he retired in 2000. But then he got a retirement plan of $8 million per year, including a free apartment in the New York Trump Tower and use of GE's corporate jet, an office, a secretary, a limousine, and a driver. By 2006, his personal net worth was said to be $720 million.

But what about the company? When the credit bubble blew up in 2007, it became apparent that GE's success under Welch's reign was not all it appeared to be. He had transformed the business, taking it out of manufacturing and into finance. In fact, GE had become a quasi–hedge fund with huge exposure to bad debt. The share price fell, wiping out almost all of Welch's gains. Had the whole financial sector not been rescued by the federal government, GE might have gone bankrupt.

The stock market is not the source of riches that most people think it is. And while some people make a lot of money by investing in stocks, most investors do not even get the average offered by the market indexes, which, adjusted for inflation, are not that great anyway. And those who actually try hardest to make money fastest—by trading in and out, following hot stocks, looking for a pot of gold in unfamiliar territory—usually do worst of all.

But what about investing in bonds and compounding sure gains over a long period of time? This is known as the "royal road to riches." It is usually more reliable than stock market investing, even though in any particular year, rates of return may be lower. The trouble is, compounding gains from bonds works only in periods of monetary stability or, better yet, when bonds are rising in price. That is the world we've lived in for the last